

Multiple Choice

1. **Answer:** B

Options: A) the opportunity cost of not pursuing a given course of action.; B) the difference between unlimited wants and limited economic resources.; C) the difference between unlimited resources and unlimited economic wants.; D) the opportunity cost of pursuing a given course of action.; E) the difference between the total benefit of an action and the total cost of that action.

Note: Correct option: B - the difference between unlimited wants and limited economic resources.

2. **Answer:** C

Options: A) the average wage is higher.; B) the national debt is lower.; C) production is higher.; D) prices are higher.; E) employment is higher.

Note: Correct option: C - production is higher.

3. **Answer:** A

Options: A) a nation discourages investment in technology.; B) a nation decreases spending on public services.; C) a nation ignores societal barriers like discrimination.; D) a nation promotes monopolies in industry.; E) a nation imposes tariffs and quotas on imported goods.

Note: Correct option: A - a nation discourages investment in technology.

4. **Answer:** A

Options: A) The pooled cross-sectional model; B) The random effects model; C) The fixed variable regression model; D) The instrumental variables regression model; E) The generalized least squares approach

Note: Correct option: A - The pooled cross-sectional model

5. **Answer:** A

Options: A) output must have increased proportionally more than population.; B) the cost of living and population must have increased.; C) the cost of living must have decreased.; D) population must have decreased.; E) output and population must have increased.

Note: Correct option: A - output must have increased proportionally more than population.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'where price is equal to marginal cost.'

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The slope is equal to the MPC.'

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '\$30,000'.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Interest rates increase and the dollar depreciates.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** The marginal cost of providing an additional unit of the good to additional citizens is zero.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key